

Northline Trading

FP&A budget, forecast and variance analysis

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A fictional Canadian wholesale and e-commerce business. Calendar 2026, CAD. The model combines a 12-month budget, six months of simulated actuals and a July-December forecast.

First-half EBITDA is \$81,466 below budget

Revenue is 1.5% below budget, while EBITDA is 34.4% below budget. Lower selling prices and product mix, higher supplier costs and extra operating expenses explain the profit shortfall.

January-June	Budget	Actual	Variance
Revenue	\$1,710,240	\$1,683,767	(\$26,473)
EBITDA	\$236,673	\$155,208	(\$81,466)
EBITDA margin	13.8%	9.2%	-4.6 percentage points

What explains the profit gap

EBITDA driver	Impact	Interpretation
Sales volume	\$11,952	Online gains exceed the wholesale volume loss.
Selling price / product mix	(\$34,369)	Lower realized prices and mix reduce gross profit.
Supplier cost / product mix	(\$26,028)	Higher cost per unit reduces gross profit.
Operating expenses	(\$33,021)	Marketing accounts for \$21,785 of extra spend.
Total explained variance	(\$81,466)	Reconciles to the EBITDA shortfall.

Full-year outlook under the initial assumptions

Case	Revenue	EBITDA	EBITDA margin
Original budget	\$3,921,600	\$641,628	16.4%
Downside	\$3,660,067	\$351,051	9.6%
Base	\$3,917,050	\$530,015	13.5%
Upside	\$4,107,353	\$654,161	15.9%

The Base case is 0.1% below revenue budget and 17.4% below EBITDA budget. Forecast margin recovery partly assumes payroll and fulfilment rates normalize to budget.

Scenario results are a static snapshot of the supplied assumptions. Variance = actual minus budget; positive cost variances are unfavorable. Parentheses indicate negative amounts. Figures are rounded, so displayed totals may differ slightly.

Decisions and methodology

Commercial priorities, scenario drivers and model scope

Recommended management actions

Pricing: review online discounts and product mix. Combined price/mix effects reduce first-half gross profit by \$34,369.

Purchasing: target supplier negotiations. Unit-cost/mix effects account for \$26,028 of the shortfall.

Marketing: assess spend against gross profit after fulfilment. Marketing expense is \$21,785 above budget, a 30.4% increase. These aggregate data do not establish campaign ROI.

July-December scenario assumptions

Driver	Downside	Base	Upside
Wholesale volume / budget	88.0%	96.0%	102.0%
Wholesale net price / budget	99.0%	101.5%	103.0%
Wholesale unit cost / budget	107.0%	103.0%	101.0%
Online volume / budget	96.0%	108.0%	116.0%
Online net price / budget	97.0%	99.0%	101.0%
Online unit cost / budget	105.0%	102.0%	100.0%
Marketing / online revenue	16.0%	13.0%	12.0%
Fixed operating expenses / budget	105.0%	102.0%	100.0%

Factors apply to the same month of the original budget; 100% means unchanged. Marketing is an absolute share of online revenue. Historical results remain fixed in every case.

Calculation approach

Revenue = units x net price. COGS = units x unit cost. Gross profit less payroll, fulfilment, marketing and fixed expenses produces EBITDA. The outlook combines six months of actuals with six months of forecast.

The profit bridge measures volume effects at budget unit margins, then price and unit-cost effects at actual units. Price and cost effects include product mix. Unrounded weighted averages ensure the bridge reconciles.

Scope and workbook use

The source contains 36 monthly product/channel records and six expense records. This operating model ends at EBITDA and excludes cash flow, working capital, tax, interest, depreciation and capital expenditure. Second-half staffing, pay and fulfilment rates follow budget in every case.

Open **Summary** for results. Change **Assumptions!D5** to 1 Base, 2 Upside or 3 Downside. Yellow July-December cells are editable. Actuals use fixed six-month ranges; adding a month requires a model update. Refresh this PDF when sharing revised assumptions.

Validation

Monthly results across all three cases were checked against separate calculations. Saved test copies were recalculated in LibreOffice to verify case changes, a December volume change, zero inputs, missing inputs and duplicate records. Source totals and the profit bridge reconcile. Desktop Excel was not used for validation.